

BY-LAWS
of
SUNNYSIDE COMMUNITY ASSOCIATION

ARTICLE I.

The name of the Corporation shall be SUNNYSIDE COMMUNITY ASSOCIATION, and its office shall be at 1027 South Pacific Avenue, San Pedro, County of Los Angeles, State of California, or at such other place as the directors may from time to time determine.

ARTICLE II.

Membership and Dues

Sec. 1: Qualification of Members.

Qualification for membership in this corporation shall be as follows:

(a) Persons holding legal title to any lot or building site in Tract No. 20429 as described and set forth in that certain "Declaration of Protective Restrictions", dated the 15th day of September, 1955, and recorded the 30th day of September, 1955, in Book 49114 of Official Records, at Page 228, Records of Los Angeles County, California, except as provided in (c) of this section and provided, further, that no person, firm or corporation taking title to any portion of said property as security for the payment of money or the performance of any other obligation shall thereby become entitled to membership.

(b) Persons holding a contract for the purchase of any lot or building site in Tract No. 20429, except as provided in (c) of this section, in which case the holder of the legal title shall not be qualified for membership by virtue of holding the legal title to such property.

(c) When the legal title to any portion of said property is vested in, or is subject to a contract or agreement of sale in favor of, two or more persons in joint tenancy or otherwise, the several owners or purchasers of said building site shall collectively be entitled to one membership in this corporation only.

Sec. 2: Creation of Membership.

(a) The acceptance by a grantee of a deed conveying to him any of the real property qualifying him for membership in this corporation shall ipso facto constitute such grantee a member of this corporation.

(b) The acceptance by a purchaser of a contract of sale covering any of the real property qualifying him for membership in said corporation shall ipso facto constitute such purchaser a member of said corporation.

(c) The records of the Secretary of this corporation, showing that a person is a member thereof, shall be conclusive evidence as against and in favor of property owners and of all third persons as to the facts recited in such records with reference to membership.

(d) Property of declarants of said Protective Restrictions is not subject to membership in the Association, provided that they may place any lots in membership, in which case they will have all the rights and obligations of a member as to each of such lots.

Sec. 3: Termination of Membership.

Any owner of real property within Tract No. 20429 who shall divest himself of ownership or shall by contract of sale agree to sell his holdings shall cease to be a member of this corporation; and any person holding a contract of sale on any portion of the property within said Tract, who shall assign or transfer his contract of sale, shall likewise cease to be a member of this corporation; provided, however, that so long as any person holds either the legal title or a contract of sale on any portion of said property, he shall remain a member, regardless of the fact that he may have transferred a portion of his holdings.

Sec. 4: Fees and Dues of Members.

No membership fee shall be charged, nor shall members be required to pay at any time any amount to carry on the business of this corporation, except to pay annually the maintenance charge or assessment, which is or may be made a lien on the properties of the respective members, and such other liens, fees and charges as are

set forth, authorized and permitted in that certain "Declaration of Protective Restrictions" heretofore referred to.

Sec. 5: Property Rights and Interest.

No member of this corporation shall have any right of property in any of the real or personal property held by, or in the possession or control of this corporation, and shall have no rights to distribution of any property or assets of this corporation at the time of its dissolution, or otherwise; and provided that at the time of dissolution of this corporation such property and assets as may be owned by this corporation shall be transferred and assigned to The Salvation Army, a non-profit corporation.

ARTICLE III.

Voting Power

The voting power of the members shall be equal and be determined and fixed as follows, to wit:

(a) Except as provided in (b) of this Article each member of this corporation shall have one vote at any meeting of the members of this corporation.

(b) When legal title to any of said property is vested in, or is subject to a contract of sale in favor of, two or more persons in joint tenancy or otherwise, the several owners or purchasers of said property shall collectively be entitled to one vote only.

ARTICLE IV.

Corporate Powers in Directors

The corporate powers of this corporation shall, except as otherwise provided herein, be vested in a board of five directors, who shall serve without compensation, and three shall constitute a quorum for the transaction of business.

ARTICLE V. *

Election of Directors

The Directors shall be elected at the annual meeting of the members, to serve for one year, and until their successors are elected. Their term of office shall begin immediately after election.

ARTICLE VI.

Vacancies

Vacancies in the Board of Directors shall be filled by the other Directors in office; and such appointee or appointees shall hold office as Director or Directors until confirmed or substitute Directors elected at meeting of the members thereafter.

ARTICLE VII.

Powers of Directors

The Directors shall have power:

(a) To call special meetings of the members whenever they deem it necessary; and they shall call a meeting at any time upon the written request of fifteen (15) members of said corporation.

(b) To appoint and remove, at pleasure, all officers, agents and employees of the corporation, prescribe their duties, fix their compensation, and require from them security for faithful services; and to appoint, remove, and fill vacancies in such committees as in its discretion are desirable in carrying out the purposes of this Association.

(c) Except as otherwise herein provided, to conduct, manage, and control the affairs and business of this corporation, and to make rules and regulations not inconsistent with the laws of the State of California, Declaration of Protective Restrictions, or these By-Laws, for the guidance of the officers and the management of the affairs of the corporation.

(d) To determine, levy, assess and collect annually the maintenance charge or assessments and other liens and charges mentioned in Article II hereof, and as

authorized by the "Declaration of Protective Restrictions" hereinbefore mentioned, and all such other charges or fees as it may have power or jurisdiction over and to fix the rate per annum of such maintenance, charge or assessment, within the limit set by said "Declaration of Protective Restrictions".

(e) To exercise all of the powers granted this corporation in and pursuant to its Articles of Incorporation and provisions of law.

(f) To exercise all of the powers and rights granted to this corporation in and pursuant to said "Declaration of Protective Restrictions" above mentioned, and in accordance therewith.

ARTICLE VIII.

Duties of Directors

It shall be the duty of the Directors:

(a) To cause to be kept a complete record of all their minutes and acts, and of the proceedings of the members, and present a full statement at the regular annual meeting of the members, showing in detail the assets and liabilities of the corporation, and generally the condition of its affairs.

(b) To hold, after due notice, such public meetings as may be necessary or advisable for the modification, amendment or approval of any restriction, condition, covenant, lien or charge proposed to be applied to any property subject to the jurisdiction of this corporation or to any property applying for acceptance thereof.

ARTICLE IX.

Officers

The officers of this corporation shall be a President, Vice-President, Secretary, and Treasurer who shall be elected and hold office at the pleasure of the Board of Directors. The offices of Vice-President, Secretary, and Treasurer, or any two of such offices, may be held by the same person.

ARTICLE X.

President

The Board of Directors shall, at their first meeting, elect one of their number to act as President, who:

(a) Shall preside over all meetings of the Directors and members.

(b) Shall sign as President all instruments in writing which have first been approved by the Board of Directors, and all certificates of membership, if, in the discretion of the Board, it shall issue certificates of membership.

(c) Shall have such other powers consistent with his office as may be conferred upon him by the Board of Directors.

ARTICLE XI.

Vice-President

The Vice-President shall act in case of the absence, or inability to act, of the President, with the same powers as are herein given to the President.

ARTICLE XII.

Secretary

The Board of Directors shall elect a Secretary; it shall be the duty of the Secretary:

- (a) To keep a record of the proceedings of the Board of Directors and of the members.
- (b) To keep the corporate seal of the corporation and to keep the book of memberships. If the Board, in its discretion, shall desire to issue certificates of membership, to fill out and countersign all certificates issued, and make the corresponding entries in the margin of the certificate book of issuance; and he shall affix the corporate seal to all papers requiring a corporate seal.
- (c) To serve all notices required either by law or the By-Laws of the corporation; and in case of his absence, inability, refusal or neglect so to do, then such notices may be served by any person thereunto directed by the President or Vice-President of the corporation.
- (d) To keep a membership book in which he shall record the name and address of each member and the termination of any membership, together with the date on which it ceased.

ARTICLE XIII.

Treasurer

The Treasurer shall receive and keep all funds of the corporation and they shall be paid out in the manner provided by resolution of the Board of Directors; he shall keep books of account of all sums received by him and paid out, which shall be accessible to all members of the corporation at all times.

ARTICLE XIV.

Books and Papers

The books and such papers as may be placed on file by vote of the members or Directors shall at all times, in business hours, be subject to the inspection of the Board of Directors or of any member.

ARTICLE XV.

Certificates of Membership

Sec. 1: The Board of Directors may, in its discretion, issue certificates of membership in such form and device as the Board of Directors may direct and, if so issued, each certificate shall be signed by the President or Vice-President and countersigned by the Secretary and express on its face its number, date of issuance, the portion of Tract No. 20429 covered thereby and the person to whom it is issued and shall contain a statement that the property rights and interest in the corporation, evidenced by such certificate, shall be appurtenant to the portion of said Tract therein described, and that the membership, represented by the certificate, shall be transferred only with the portion of said Tract described in said certificate.

Sec. 2: Transfer of Membership.

Upon the satisfactory evidence of the transfer by any member of all of his property as to which his membership certificate is appurtenant, the certificate shall be marked "Cancelled" on the books of the corporation as to the property so transferred, without requiring a surrender or cancellation of the transferor's certificate of membership, and a new certificate of membership may thereupon be issued to the transferee.

Sec. 3: Lost Certificate.

If a certificate shall be lost or destroyed, the Board of Directors may order a new certificate issued upon such guarantee by the parties claiming the same as the Directors may deem satisfactory.

ARTICLE XVI.

Meetings

Sec. 1: Meetings of Members.

The annual meeting of the members of this corporation shall be held on the

second Tuesday of April of each and every year, at the hour of two o'clock P.M. at the office of the corporation, or at such other place as shall be selected from time to time by the Board of Directors. Notice of the time and place of the holding of the annual meeting shall be sent by the Secretary by mail with the postage thereon prepaid to each member, as then shown on the books of the corporation, at his last known address at least ten (10) days before the date of such meeting and the certificate of the Secretary giving such notice shall be conclusive of the fact of service.

Notice of special meetings of the members shall be called in like manner after five days' notice.

No meeting of members shall be competent to transact business unless members holding a majority of the votes of the interests represented by all of the members be present.

At such annual meeting of the members, Directors for the coming year shall be elected to serve for one year, and until their successors are elected. If, however, for want of a quorum, or other cause, a members' meeting shall not be held on the day named, or should the members fail to complete their elections, or such other business as may be presented for their consideration, those present may adjourn from day to day, or to a day and time until the same shall be accomplished.

Sec. 2: Meetings of Directors.

The Board of Directors shall meet immediately following their election at the annual meeting of members and shall organize by the election of officers for the ensuing year.

Regular meetings of the Directors shall be held on the first Tuesday of each month, at the office of the corporation, at two o'clock P.M. or at such other time and place as the Directors may, by resolution, determine, and no notice need be given of such regular meetings.

Special meetings of the Board of Directors shall be called at such time and place and in such manner as the Board may by resolution prescribe.

ARTICLE XVII.

Proxies

Members may vote by proxy. A proxy to be operative must be in writing and signed by the member giving the proxy, and be deposited with the Secretary of the corporation at least one hour before the meeting.

ARTICLE XVIII

The exercise of the rights, powers, and obligations of this corporation shall be pursuant to and controlled by the applicable provisions of said Declaration of Protective Restrictions, which are adopted herein.

ARTICLE XIX.

Amendments

The By-Laws may be repealed or amended or new By-Laws adopted at any annual meeting of the members, or at any other meeting of members called by the Directors for that purpose, by a vote representing two-thirds of the votes of the interests represented by all members or by the written assent of the members holding two-thirds of the votes of the interests represented by all members. The power to repeal or amend or adopt By-Laws is given to the Directors, subject to being approved, changed or revoked by a similar vote of members at a subsequent meeting.

ARTICLE XX.

Seal

The corporation shall adopt and use a corporate seal consisting of a circle setting forth on its circumference the name of the corporation and showing the State and date of incorporation.

KNOW ALL MEN BY THESE PRESENTS:

That we, the undersigned, Directors of the corporation known as and called Sunnyside Community Association, do hereby certify that the above and foregoing By-Laws were duly adopted as the By-Laws of the corporation, and that the same do now constitute and are the By-laws thereof.

IN WITNESS WHEREOF, we have hereunto set our hands this 27th day of October, 1955.

James H. Cornell, Jr.
James H. Cornell, Jr.

Sally S. Cornell
Sally S. Cornell

Eric S. Peterson
Eric S. Peterson

Edward Lyle
Edward Lyle

Clifford P. Wheeler, Jr.
Clifford P. Wheeler, Jr.

Amendment to Article V, adopted 27 April 1965.

Election of Directors

Directors shall be elected at the annual meeting of the members. At the first annual meeting adopting this by-law two directors shall be elected for a term of one year, and three shall be elected for a term of two years. At all subsequent meetings Directors shall be elected to serve for two years, thereby creating staggered terms with at least two Directors elected each year. Director term of office shall begin immediately after the annual meeting of their election.